Founder’s Dilemma · Teaching pack

Session 6 of 6

3 hours · round 10 and presentations

Exit and final debriefing.

Weigh an acquisition offer, read the waterfall, and reflect on the whole journey.

Session 6
Agenda

Today’s three hours.

01

Lesson

25 minutes

Forms of exit, the waterfall, when to sell, the post-mortem.

02

Round 10

35 minutes

The last round, with acquisition offers on the table.

03

Results and presentations

8 + 4 minutes per team

Standings and Rich or King, then each team’s strategy and lessons.

04

Final debriefing

Whole class

Decisions, the game’s limits, the report assignment.

Lesson
Forms of exit

The exit is the moment shares turn into money.

IPO	Strategic	Financial	Acqui-hire
The company lists on the stock market and stays independent. Rare, slow and expensive.	A company in the same industry buys the product, the customers or the technology.	A private equity fund buys the cash flows of a company that is already profitable.	The buyer wants the team; the product often shuts down.

The vast majority of venture-backed startups exit through an acquisition, not an IPO.

- **In the game.** Offers come from a corporate VC that already holds shares, from a private equity fund if the company is profitable, or from a strategic acquirer; the acqui-hire is one of the dilemmas.

Lesson
Three cases

Two sales, and one offer turned down.

2012

Instagram

Facebook buys it for about $1 billion in cash and stock, eighteen months after launch. It has 13 employees.

2014

WhatsApp

Facebook buys it for about $19 billion: $16 billion in cash and stock, $3 billion in restricted stock for those who stay.

2006

Facebook

Yahoo offers $1 billion. Zuckerberg says no: he is convinced the company is worth far more on its own.

- **In the game.** Once you sell you are no longer King: on the Rich or King chart, the exit turns control into cashed-in wealth.

Lesson
The waterfall

The sale price is not what the founders take home.

Example: founders at 60%, one investor at 40% with €8M invested and a 1x non-participating preference

Sale price	To the investor	To the founders
€12M	€8M	€4M
The number that makes the headlines.	The preference is paid first: 40% would be worth only €4.8M.	33% of the price, with 60% of the shares.

In a €40M sale the investor converts and takes its 40% (€16M), and the founders get €24M, or 60%.

- **In the game.** Accepting an offer splits the price through the waterfall: 1x preferences, or 2x for rescue rounds, are paid first; the unallocated pool gets nothing.

Lesson
When to sell

Five questions to ask about an offer.

01	Is the price higher than what the company will be worth tomorrow, allowing for the risk of never getting there?
02	How much actually reaches the founders and employees, after preferences?
03	Who decides: do the founders still control the board?
04	What happens to the team, the customers and the product after the sale?
05	Is it the right moment: the market, the investment climate, the cash you have left?

- **In the game.** Offers range from 0.9 to about 2 times the valuation, depending on the buyer; accepting one is an exit, and the price goes to the shareholders through the waterfall.

Lesson
The post-mortem

Tell the story of what happened, not of what you hoped for.

01	02	03	04
The facts	**The decisions**	**Luck or skill**	**The lessons**
Numbers and dates, before any interpretation.	What we knew at the time, and what alternatives we had.	A good decision can end badly, and vice versa.	What we would do again, what we wouldn’t, what applies beyond the game.

Judging a decision only by its outcome is the mistake Annie Duke calls **resulting**.

- **In the game.** The Team report already has the numbers, the round-by-round decisions and the post-mortem questions: it is the starting point for the final report.

Lesson
Module recap

Five ideas to take with you.

01	A startup is searching for a business model; the market matters more than the idea.
02	Product-market fit is measured, not declared.
03	A customer has to be worth more than it costs to acquire.
04	Every euro you raise costs equity or control: rich or king.
05	The price of an exit is not what the founders take home.

Round 10
Acquisition offers

Sell, and at what price?

From round 4, for companies valued at €5M or more, or with ARR of at least €1M. Accepting splits the price among the shareholders through the waterfall.

1.1–1.6×

Corporate VC already invested

times the valuation.

0.9–1.3×

Private equity

only if the company is profitable.

0.95–1.8×

Strategic acquirer

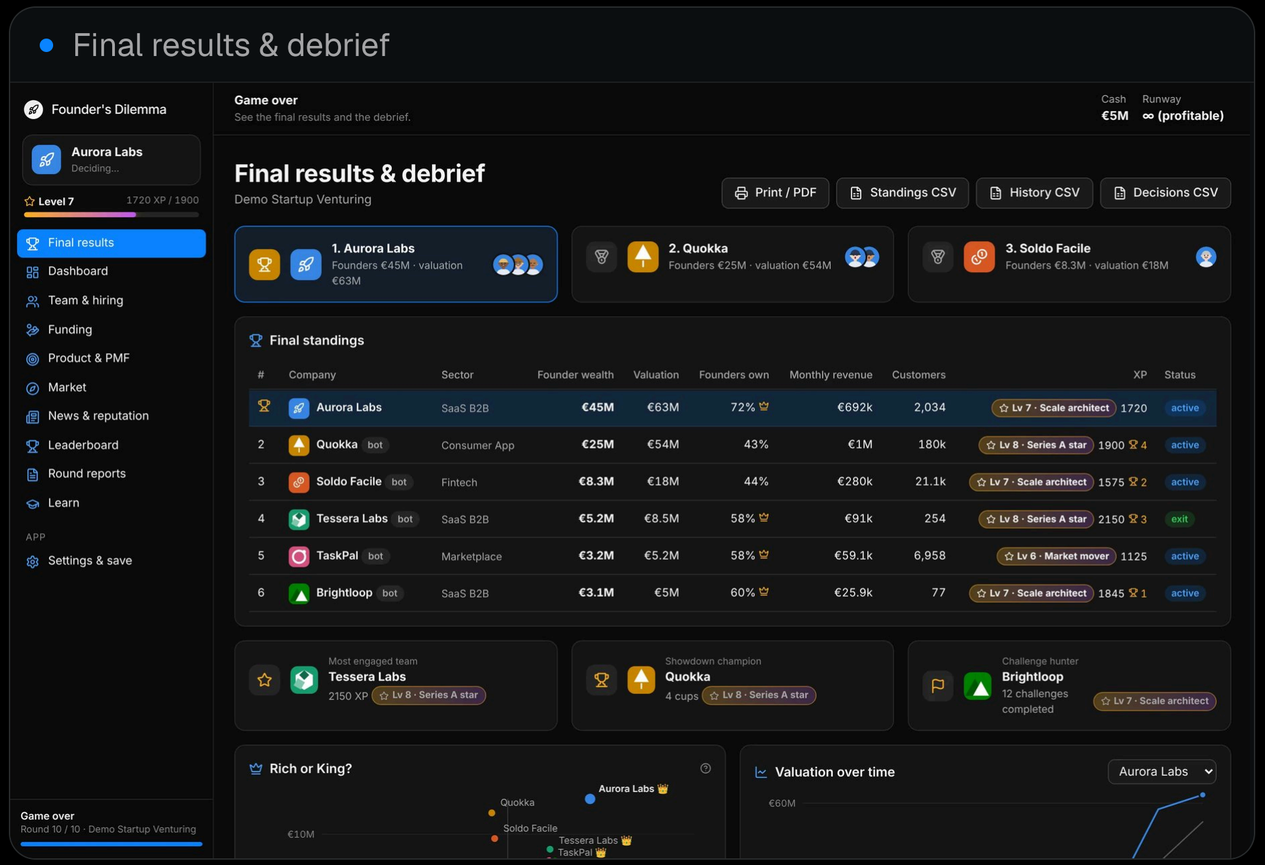
up to about 2 in the hottest industries.

Between teams: a cash offer, at least half the other company’s valuation and no more than your own cash.

After round 10
Projector view

Closing the game.

- **Podium and standings:** founders' wealth, valuation or a balanced score.
- **Rich or King:** where each team lands.
- **Team journeys:** valuation over time and achievements unlocked.
- **Team report:** the starting point for the final report.



Team presentations

8 minutes plus 4 for questions

Eight minutes to tell a company’s story.

What to bring

01 The strategy

02 Three key decisions

03 What you would do differently

04 The link to a real case

How it is graded

30% Story and message

30% Evidence: two or three charts or numbers

25% Reflection tied to theory

15% Handling questions

The final presentation is worth 20% of the module grade.

Final debriefing
Guiding questions

Four questions about the whole journey.

01	If you got an acquisition offer today, at what price would you sell? Why?
02	If one team acquired another: who came out ahead, the buyer or the seller?
03	Which decision would you make differently, and what did it teach you?
04	Where does the game oversimplify reality?

Final debriefing
Limits and simplifications

Where the game simplifies.

Simplified cash

No taxes, VAT, working capital or depreciation.

Stylized competitors

Moves at the industry level, with no customers or prices of their own.

Fixed market

Its size changes only through events.

Bare-bones term sheets

Only 1x or 2x non-participating preferences; no anti-dilution, drag-along or secondary sales.

Rigid deals

Partnerships with fixed effects; cash-only acquisitions, with no earn-out.

People as numbers

Few skills; culture and conflict boiled down to morale, stress and dilemmas.

Assignment
Final report and post-mortem

The last assignment.

Final report

Due in one week.

8 pages at most, starting from the Team report the game generates. Worth 30% of the grade.

Structure

01 Summary
02 Strategy
03 Three key decisions
04 PMF and growth
05 Funding and control
06 Dilemmas and ethics
07 Reality check
08 Lessons learned

End of the module

6 sessions · 10 rounds

Thank you.

The game runs in the browser:

kurisuchanxxx.github.io/foundersdilemma/play